13. INCOME TAXES

Income (loss) before income taxes consisted of the following:

	Years ended December 31,		
	2023	2022	2021
	(In thousands)		
United States	$ 176,261	$ 159,772	$ 121,035
Foreign	(56,629)	(47,590)	(30,687)
	$ 119,632	$ 112,182	$ 90,348

The allocation of income before income taxes may fluctuate year to year due to activity within the Bright Horizons consolidated group. Included in the U.S. and foreign income (loss) before income taxes is intercompany interest.

Income tax expense consisted of the following:

	Years ended December 31,		
	2023	2022	2021
	(In thousands)		
Current income tax expense:			
Federal	$ 39,421	$ 27,627	$ 13,240
State	14,760	10,357	5,078
Foreign	2,944	3,201	6,567
	57,125	41,185	24,885
Deferred tax benefit:			
Federal	(8,089)	(3,193)	(2,390)
State	(2,883)	(995)	(566)
Foreign	(744)	(5,456)	(2,040)
	(11,716)	(9,644)	(4,996)
Income tax expense	$ 45,409	$ 31,541	$ 19,889

The following is a reconciliation of the U.S. federal statutory rate to the effective rate on pretax income:

	Years ended December 31,		
	2023	2022	2021
	(In thousands)		
Federal income tax expense computed at statutory rate	$ 25,123	$ 23,558	$ 18,973
State income tax expense — net of federal income tax	10,041	8,008	3,140
Valuation allowance — net	8,235	3,661	(1,836)
Tax credits	(749)	(899)	(988)
Permanent differences and other — net	924	(733)	3,721
Change in contingent consideration	—	—	1,212
Stock-based compensation	2,297	(1,513)	(6,133)
Change in income tax rate	—	—	817
Change to uncertain tax positions — net	741	(61)	438
Foreign rate differential	(1,203)	(480)	545
Income tax expense	$ 45,409	$ 31,541	$ 19,889

The effective income tax rate for 2023 was 38.0%. In 2023, income tax expense was increased by a total of $2.9 million, with $0.6 million in state income tax, for the net shortfall tax expense associated with the exercise or expiration of stock options and vesting of restricted stock.

The effective income tax rate for 2022 was 28.1%. In 2022, income tax expense was reduced by $2.0 million, net with a $0.5 million tax benefit in state income tax, for the net excess tax benefit associated with the exercise or expiration of stock options and vesting of restricted stock.

The effective income tax rate for 2021 was 22.0%. Income tax expense was reduced by $7.8 million in 2021 for the excess tax benefits associated with the exercise of stock options and vesting of restricted stock.

The Organization for Economic Cooperation and Development introduced a framework to implement a global 15% minimum corporate tax (“Pillar Two”). The European Union issued a directive to its member states to enact the Pillar Two in their local laws effective after December 2023. A number of other countries are expected to also implement similar legislation with effective dates in the future. The Company is continuing to evaluate the future impact of Pillar Two in the jurisdictions in which the Company operates.

Significant components of the Company’s net deferred tax liability were as follows:

	December 31,	
	2023	2022
	(In thousands)	
Deferred tax assets:		
Reserve on assets	$ 398	$ 492
Net operating/capital loss carryforwards	10,239	8,340
Liabilities not yet deductible	9,996	11,966
Deferred revenue	3,020	2,963
Stock-based compensation	18,996	18,589
Operating lease liabilities	244,697	252,206
Other	4,996	5,060
Deferred tax assets	292,342	299,616
Less: valuation allowance	(18,215)	(9,980)
Total net deferred tax assets	274,127	289,636
Deferred tax liabilities:		
Operating lease right-of-use assets	(207,317)	(220,324)
Intangible assets	(78,993)	(84,469)
Cash flow hedges	(6,228)	(12,653)
Depreciation	(14,744)	(22,929)
Total deferred tax liabilities	(307,282)	(340,375)
Net deferred tax liability	$ (33,155)	$ (50,739)

At December 31, 2023 and 2022, the Company had foreign net operating loss carryforwards of $35.6 million and $27.8 million, respectively, all of which had a valuation allowance offsetting the related deferred tax asset. These net operating losses can be carried forward indefinitely.

During the year ended December 31, 2023, the Company recorded a net additional valuation allowance of $8.2 million on foreign deferred tax assets, resulting in an $18.2 million total valuation allowance. The Company assesses available positive and negative evidence to estimate if there is sufficient future taxable income (inclusive of reversing temporary differences) to recover the existing deferred tax assets. Based on the weight of evidence, the Company determined that it was more likely than not that a portion of the deferred tax assets would not be realized. During the year ended December 31, 2023, the Company released a valuation allowance of $0.2 million on a U.S. deferred tax asset.

During the year ended December 31, 2022, the Company recorded additional valuation allowance of $9.7 million on foreign deferred tax assets, with $6.0 million recorded as part of acquisition accounting. A $0.2 million valuation allowance remained on U.S. deferred tax assets as of December 31, 2022.

The Company considers the earnings of certain non-U.S. subsidiaries to be indefinitely invested outside the United States on the basis of estimates that future domestic cash generation will be sufficient to meet future domestic cash needs and the Company’s specific plans for reinvestment of those subsidiary earnings. The Company does not assert permanent reinvestment of earnings through the current year with respect to its Indian subsidiary. Where necessary, taxes resulting from foreign distributions of current and accumulated earnings, related to the state taxes and foreign withholding taxes, have been considered in the Company’s provision for income taxes.

Table of Contents

Uncertain Tax Positions

The changes in the unrecognized tax benefits were as follows:

	Years ended December 31,		
	2023	2022	2021
	(In thousands)		
Beginning balance	$ 2,084	$ 2,584	$ 2,929
Additions for tax positions of prior years	196	—	343
Settlements	—	(344)	(363)
Reductions for tax positions of prior years	—	—	(55)
Lapses of statutes of limitations	—	(156)	(270)
Ending balance	$ 2,280	$ 2,084	$ 2,584

The Company recognizes accrued interest and penalties related to unrecognized tax benefits in income tax expense, which were immaterial for each of the years ended December 31, 2023, 2022 and 2021. Total interest and penalties accrued as of December 31, 2023 was $2.3 million. In 2023, the Company increased unrecognized tax benefits by $0.2 million for a prior year domestic tax position. In 2022, the Company reduced unrecognized tax benefits by $0.2 million for lapse of statute of limitations, and $0.3 million for settlements with certain states. In 2021, the Company recorded an unrecognized tax benefit of $0.3 million and reduced unrecognized tax benefits by $0.3 million for lapse of statute of limitations, and $0.4 million for settlements with certain states.

The total amount of unrecognized tax benefits that if recognized would affect the Company's effective tax rate is $4.6 million, inclusive of interest. The unrecognized tax benefits may change over the next 12 months by $4.3 million.

The Company and its domestic subsidiaries are subject to U.S. federal income tax as well as multiple state jurisdictions. U.S. federal income tax returns are typically subject to examination by the Internal Revenue Service (IRS) and the statute of limitations for federal income tax returns is three years. The Company's filings for the tax years 2020 through 2022 are subject to audit based upon the federal statute of limitations.

State income tax returns are generally subject to examination for a period of 3 to 4 years after filing of the respective return and the tax years from 2019 to 2022 are subject to audit. The state impact of any federal changes remains subject to examination by various states for a period of up to one year after formal notification to the states.

The Company is also subject to corporate income tax at its subsidiaries located in the United Kingdom, the Netherlands, Australia, India and Puerto Rico. The tax returns for the Company's subsidiaries located in foreign jurisdictions are subject to examination for periods ranging from 1 to 6 years.